

Privacy Notice for E-Commerce System

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At **My Shop**, we take your privacy seriously. This Privacy Notice explains how our E-Commerce System capstone project (the “System”) collects, uses, and safeguards the personal information of its users, including **Buyers**, **Sellers**, and **Admins**. Understanding how your information is handled helps ensure a safe, secure, and personalized shopping experience.

1. What Information We Collect

We collect personal information to provide and improve the System’s features and services. Some information is provided directly by you, while other data is collected automatically during your interactions with the System. When you register as a Buyer or Seller, we collect basic account information such as your **email address** and **password**. You can also provide and update profile details, including multiple delivery addresses and saved payment methods. For Sellers, additional information such as store profile, business address, and contact information is required. Moreover, any reviews or ratings you submit for products you have purchased are stored in our System.

Automatically collected data includes **order and transaction history**, **browsing and interaction data**, and **authentication and session information**. The AI module collects data on your browsing activity to generate personalized recommendations and provide relevant responses through the chatbot. System administrators may access **system logs** for debugging and auditing purposes; however, sensitive data like passwords or full payment information is never logged.

2. How We Use Your Information

Your personal information is used to operate and enhance the System. Primarily, we use your data to provide core services such as user registration, authentication, and role-based access control. Transaction information is processed to manage your shopping cart, orders, order tracking (e.g., Created, Paid, Shipped), and simulated payment processing. We also use your information to communicate with you via email regarding account updates, order confirmations, or status changes.

The AI-powered features of the System utilize your profile, order history, and browsing activity to generate **personalized product recommendations** and provide intelligent responses through the AI chatbot. The goal is to create a more relevant and helpful experience while using the platform. Additionally, your information is used to maintain security and integrity of the platform, monitor failed login attempts, and allow Administrators to manage user accounts and moderate content.

3. How We Share Your Information

Your personal information is not sold to third parties. However, certain data is shared in limited circumstances necessary for system functionality. **Sellers** receive order details and shipping information to fulfill your purchases. Your product reviews and ratings are visible to other users to enhance community feedback. Third-party service providers may process data on our behalf. For instance, AI queries and personalized context may be processed by the AI provider (e.g., Google Gemini API), email notifications are sent through services like SendGrid, and payments are handled by a simulated external payment gateway. Administrators also have access to user data to monitor system performance, moderate content, and troubleshoot issues.

4. How We Secure Your Information

We prioritize the security of your data. All API communications are encrypted using HTTPS with TLS 1.2 or higher. User passwords are securely hashed with bcrypt, and accounts are automatically locked after five failed login attempts to prevent brute-force attacks. The System is protected against common web vulnerabilities, including SQL injection (via parameterized queries), XSS, and CSRF. Short-lived JWTs are used to manage secure authentication sessions, ensuring that your account remains safe.

5. Your Rights and Choices

Users have control over their personal information. You can view and update your profile information at any time, manage multiple delivery addresses, and add or remove payment methods. Reviews you submit can be edited or deleted. If you wish to deactivate or delete your account, you may contact an Administrator to request this action.

6. Data Storage and Retention

Your data is stored using a polyglot persistence approach. Core transactional data such as users, products, and orders are stored in database management system. Session data and product caches are maintained in Redis, while product information for AI-powered search is stored in a Chroma vector database. Personal information is retained as long as your account is active and may also be retained as required for auditing or system integrity purposes.

AI Assistant Limitations & Disclaimer

The **My Shop AI Assistant** (the “Assistant”) is a tool designed to help users navigate our platform and answer common questions. Its responses are generated automatically, using AI models including third-party Large Language Models (LLMs) such as Google Gemini.

The Assistant is intended for informational and convenience purposes only. It can provide guidance on product discovery, frequently asked questions, and policy summaries, but it should not be relied upon as an official or legally binding source. Responses may be **inaccurate, incomplete, or outdated** and may occasionally appear plausible but be incorrect, a phenomenon known as “hallucination.”

The Assistant also attempts to provide real-time information about product prices and stock from our internal database. However, prices and availability on product pages, in your cart, and at checkout are always considered the official source of truth. Users should rely on these official listings over any AI-generated output. The Assistant is **not a substitute for human judgment** and should never be used for professional advice, including medical, legal, or financial matters. The service is provided “as is” and “as available,” without any warranty regarding accuracy, reliability, or fitness for any particular purpose.

AI Assistant Acceptable Use Policy

To maintain a safe and functional system, users must interact with the AI Assistant responsibly. Prohibited uses include engaging in **harmful or illegal activities**, such as generating hateful, harassing, violent, defamatory, or discriminatory content, or planning illegal acts including fraud or theft. Users may not attempt to **reverse-engineer** the Assistant, bypass safety filters, or exploit the system for spamming, phishing, or malware distribution.

Privacy violations are strictly prohibited. Users must not attempt to uncover personal information of other users, sellers, or administrators. Inappropriate usage, such as sexually explicit or unrelated content requests, is also forbidden. Lastly, system abuse, including sending excessive automated requests that strain the AI service, is not allowed. Violating these rules may result in termination of access to the AI Assistant and My Shop Services.